Altria (MO)

Pricing power, pouch economics and a shrinking cigarette pool

Research date: October 20, 2026 | NYSE common shares

Framework v8.0 | NOT HELD | FAIL | Analytical score 23/60, scaled to 38/100. Competitive nicotine franchise; no indispensable supply-chain bottleneck demonstrated.

October 19, 2026 regular-close snapshot: approximately $74 per share. The operating analysis below uses the Q4 2027 horizon.

Writing-date header snapshot: approximately 1,670 million ordinary shares/ADS equivalent (latest company share control, June 30, 2026); market capitalization approximately $123,711 million. These header observations do not enter the operating ceiling.

Marlboro generates high cash margins and on! gives Altria a route into growing nicotine pouches. The hard question is whether that growth can replace profit lost to cigarette downtrading and declining Copenhagen/Skoal volumes. The model retains launch promotion, own-product displacement and legal costs before valuing the new revenue.

Pricing supports near-term cash and pouch distribution is improving. The growth pool remains small beside the mature cigarette business, and competition can capture much of the category expansion. A large exclusive supply constraint is absent, which limits the framework thesis score despite attractive existing operating margins.

Analytical Base	Framework result	Active operating ceiling	Valuation basis
38 / 100	Fail	$74	10x GAAP operating profit

The analytical Base measures thesis quality. It is separate from the probability assigned to an individual commercial outcome. The operating ceiling is a model estimate from forward four-quarter profit; it does not include dividends or a price-dependent return calculation.

The business and the source of potential excess returns

The cash-generating franchise

Altria's smokeable business is anchored by Marlboro and a large US retail network. Oral products combine high-margin traditional moist smokeless tobacco with on! pouches. NJOY is a separate potential commercial restart, while ABI is an equity-method investment below operating income.

What a headline can miss

A slower fall in total cigarette volume can coexist with a weaker premium mix. In Q2, discount shipments rose sharply while Marlboro shipments fell. on! retail takeaway improved, yet the total oral segment's operating contribution declined. The economically useful measure is new pouch profit after promotional spending and own-MST displacement.

The competitive barrier

Brand loyalty, distribution, data, recurring purchases and regulatory access defend the franchise. Leaf and nicotine supplies are described as adequate. PMI, BAT, discount cigarette suppliers, JUUL and illicit products compete for the same consumer wallet. The evidence does not establish an indispensable physical bottleneck.

Reported results and the current guide

The latest actual is Q2/H1 2026, released July 30. Q3 results are scheduled for October 29 and are not included. Altria's headline net revenues include excise taxes: H1 $11,539 million less $1,425 million excise gives the $10,114 million operating revenue used here.

H1 GAAP operating profit was $6,092 million. Removing the stated operating special items produces an analytically derived adjusted operating profit of $6,332 million: deduct $11 million NPM items and add $14 million acquisition costs, $94 million asset/exit costs, $97 million litigation and $46 million acquired-intangible amortization. The active valuation uses GAAP operating profit and retains recurring and estimated unusual costs.

Q2 cigarette shipments fell about 3%, but management's inventory-adjusted estimate was about 5%. Marlboro shipments fell about 7%, while discount shipments rose about 67%. Reported resilience therefore includes mix and inventory effects. Q2 net pricing was about 5%, weaker than Q1, and must not be added again on top of the net revenue bridge.

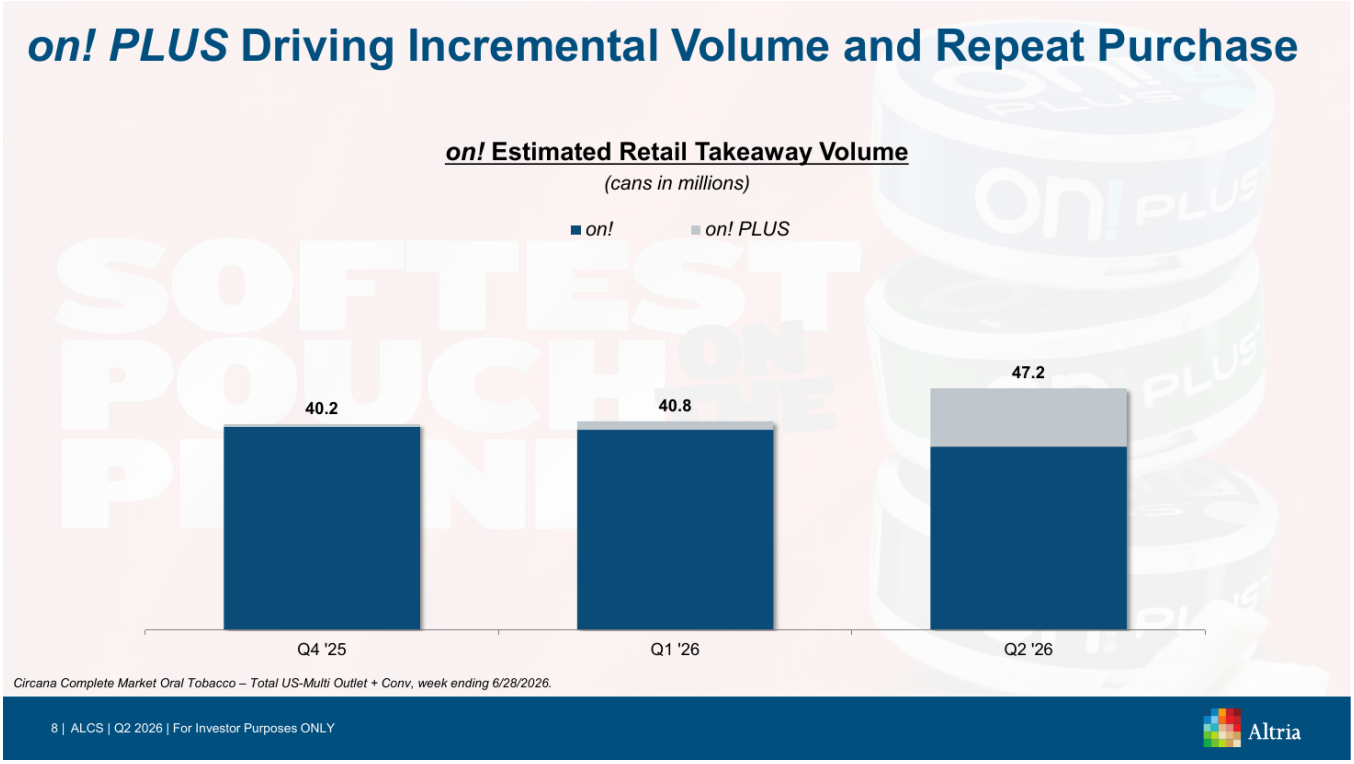
The latest guide is adjusted EPS of 561-572 cents and capex of $375-$450 million. It includes smoke-free investment, contract-manufacturing investment, reinvested savings and no 2026 NJOY ACE return. Former smoke-free 2028 volume/revenue goals are being reassessed and are excluded as active targets.

Period	Revenue	Gross profit	Costs below GP	Operating profit
FY2025 actual	20,139	14,542	4,643	9,899
H1 2026 actual	10,114	7,326	1,234	6,092

USD million. Revenue excludes excise. FY2025 costs include major NJOY impairments; H1 and annual operating profit are GAAP. Adjusted segment OCI differs from consolidated operating profit.

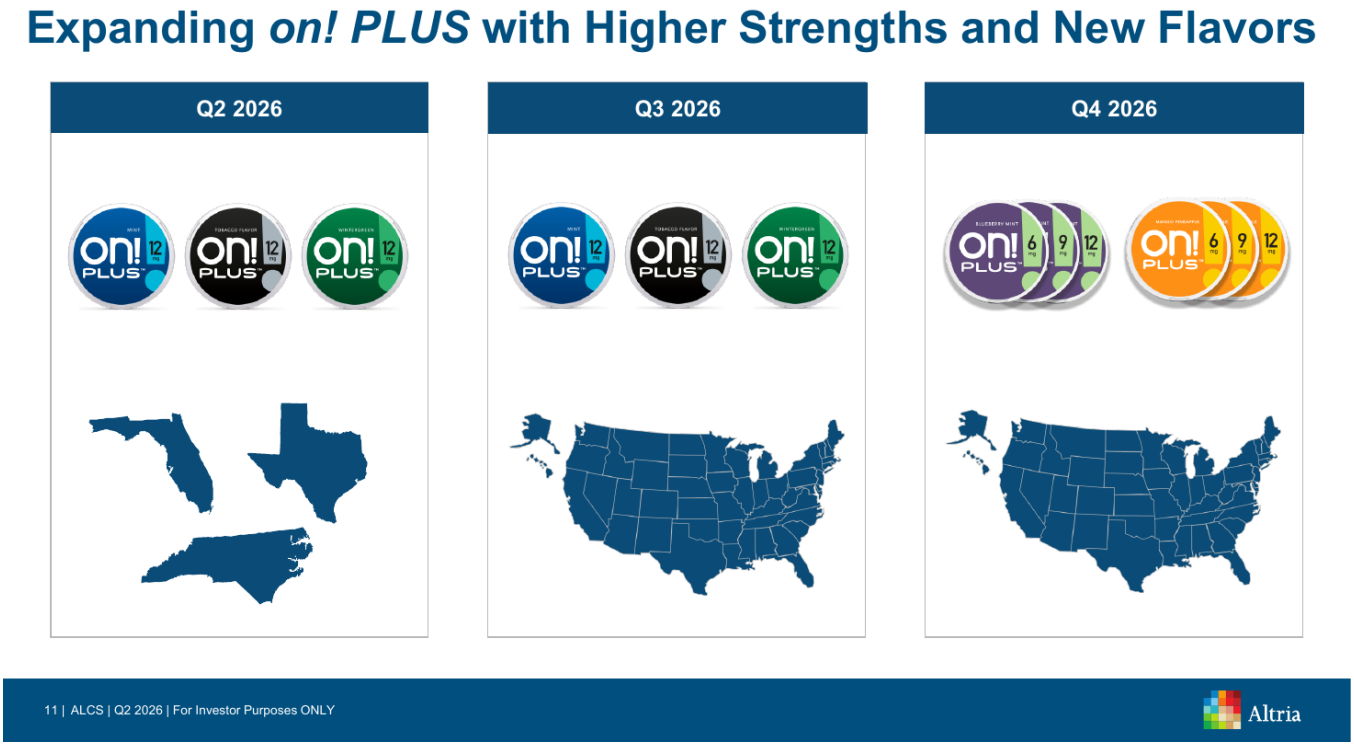
Adoption, company capture and the competing alternatives

on! consumer takeaway improves



Retail takeaway differs from manufacturer shipments and channel inventory. The split by product is not numerically estimated from the coloured bars. Source: Altria Q2 presentation, July 30, 2026, PDF page 8.

The planned on! PLUS portfolio

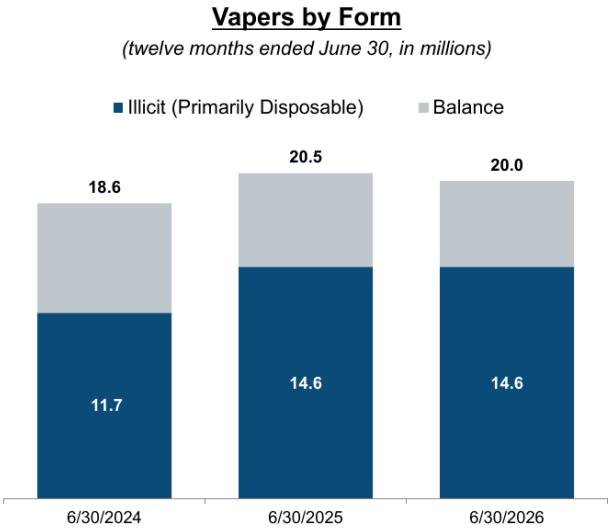


The slide records company rollout plans. Named-product FDA authorization and actual retail availability require separate evidence. Source: Altria Q2 presentation, July 30, 2026, PDF page 11.

The illicit vapour market remains large

Vaper Population Flat as Disposable Growth Moderates

Adult Vapers 21+ - Past 30-Day Usage



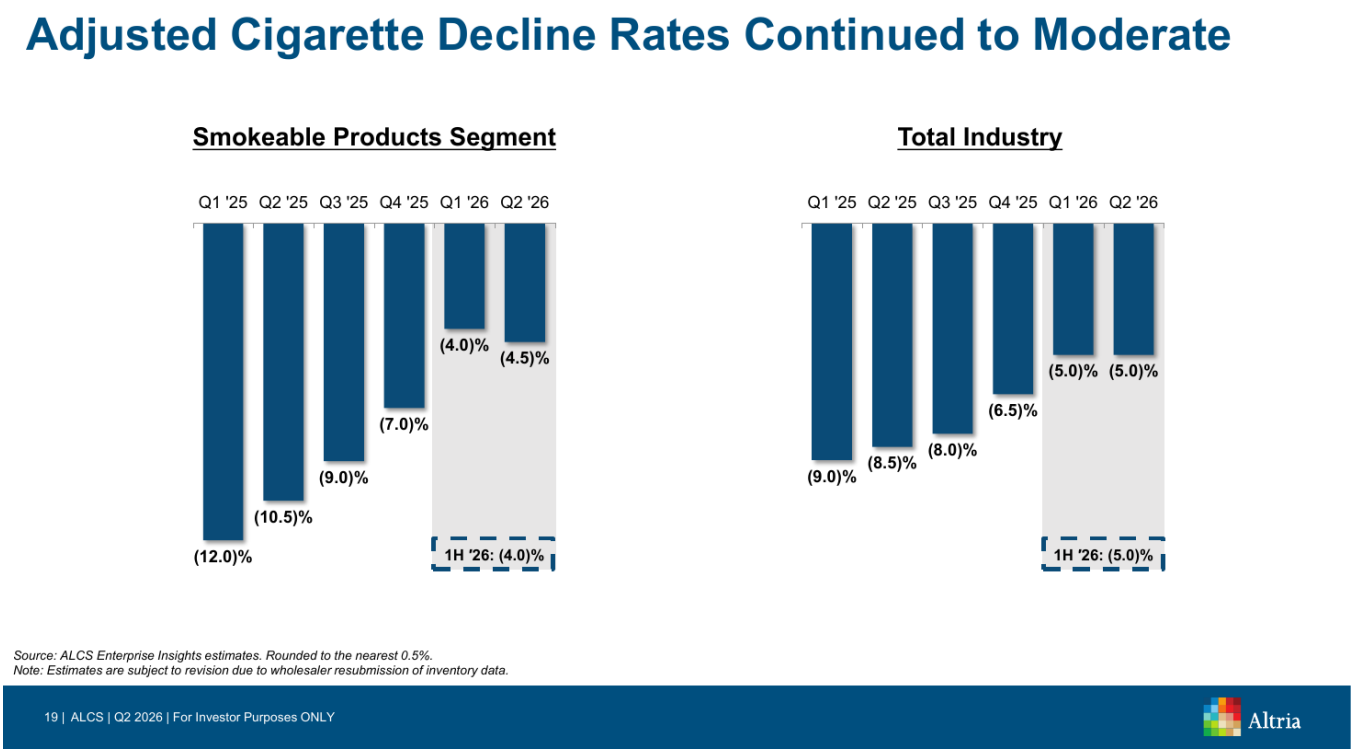
Source: ATCT June 2024 to June 2026.

14 | ALCS | Q2 2026 | For Investor Purposes ONLY

Altria

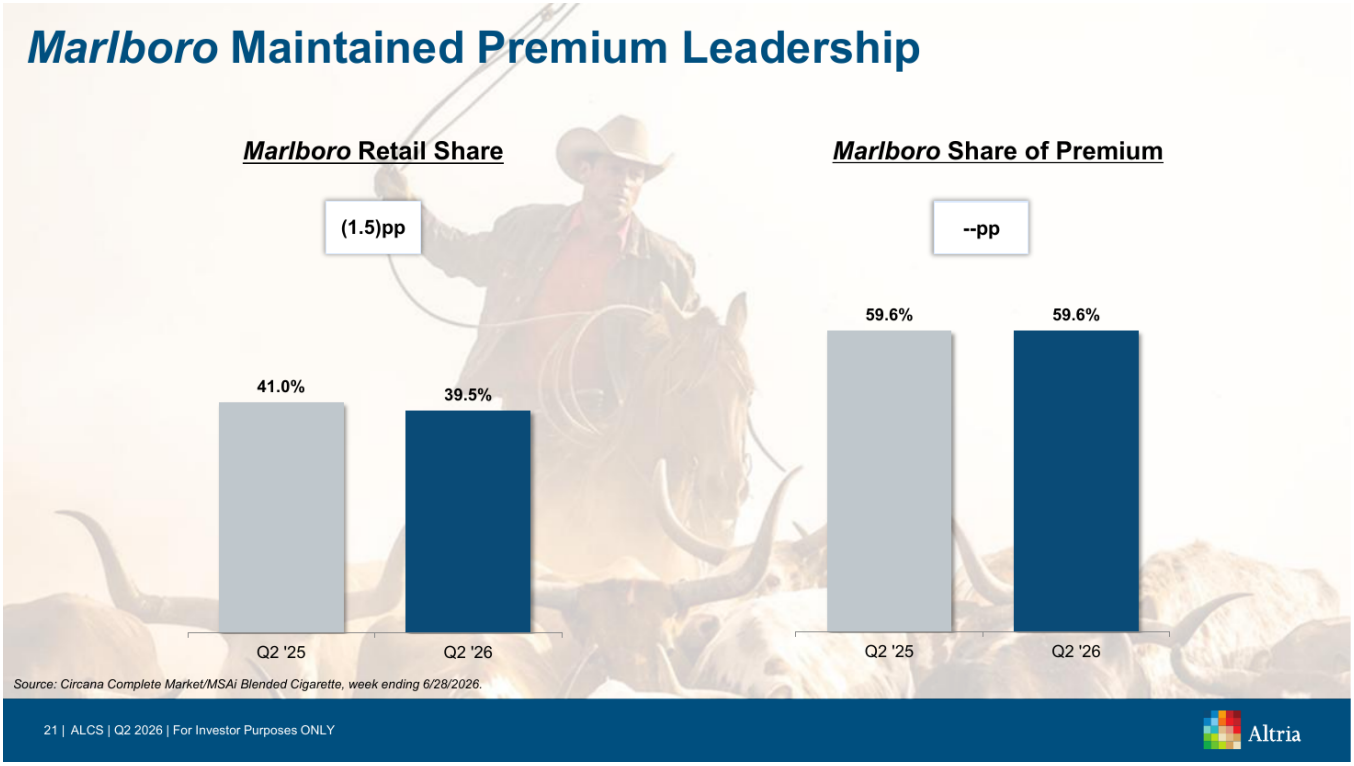
The figures are a company survey estimate, not an independent census. Illicit enforcement can help several legal suppliers at once. Source: Altria Q2 presentation, July 30, 2026, PDF page 14.

Cigarette decline moderates



Management inventory-adjusted estimates use stated rounding. Slower decline still means a shrinking cigarette pool. Source: Altria Q2 presentation, July 30, 2026, PDF page 19.

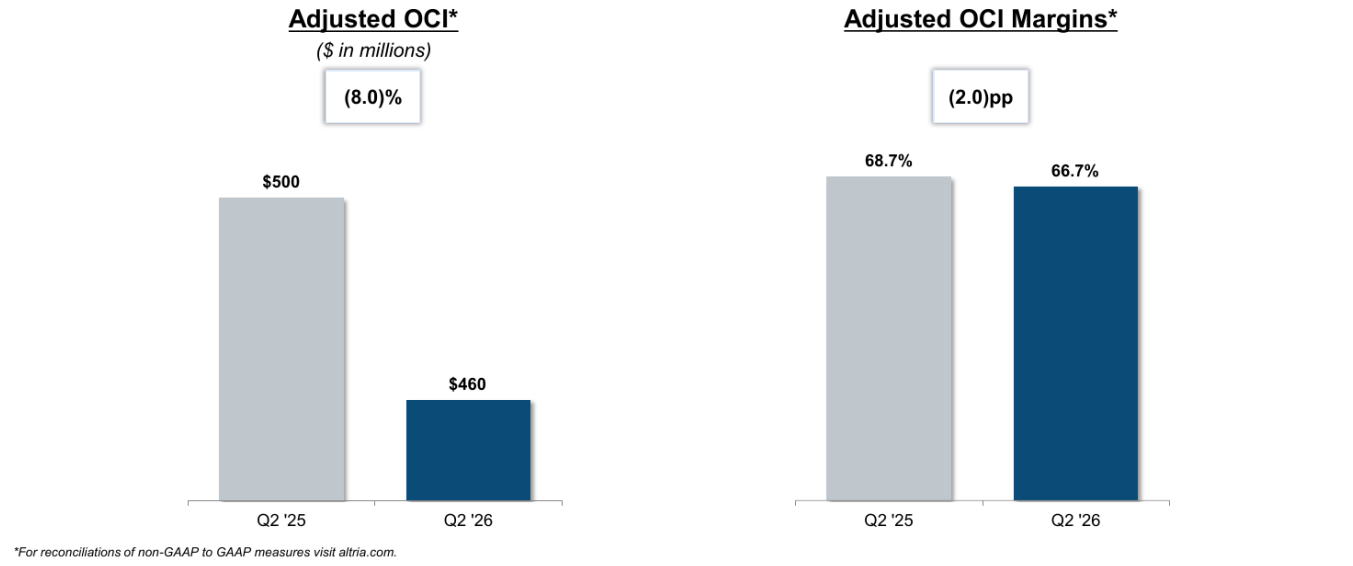
Premium share and the total market differ



Total cigarette and premium-cigarette share use different denominators. Stable share within premium does not establish stable premium category volume. Source: Altria Q2 presentation, July 30, 2026, PDF page 21.

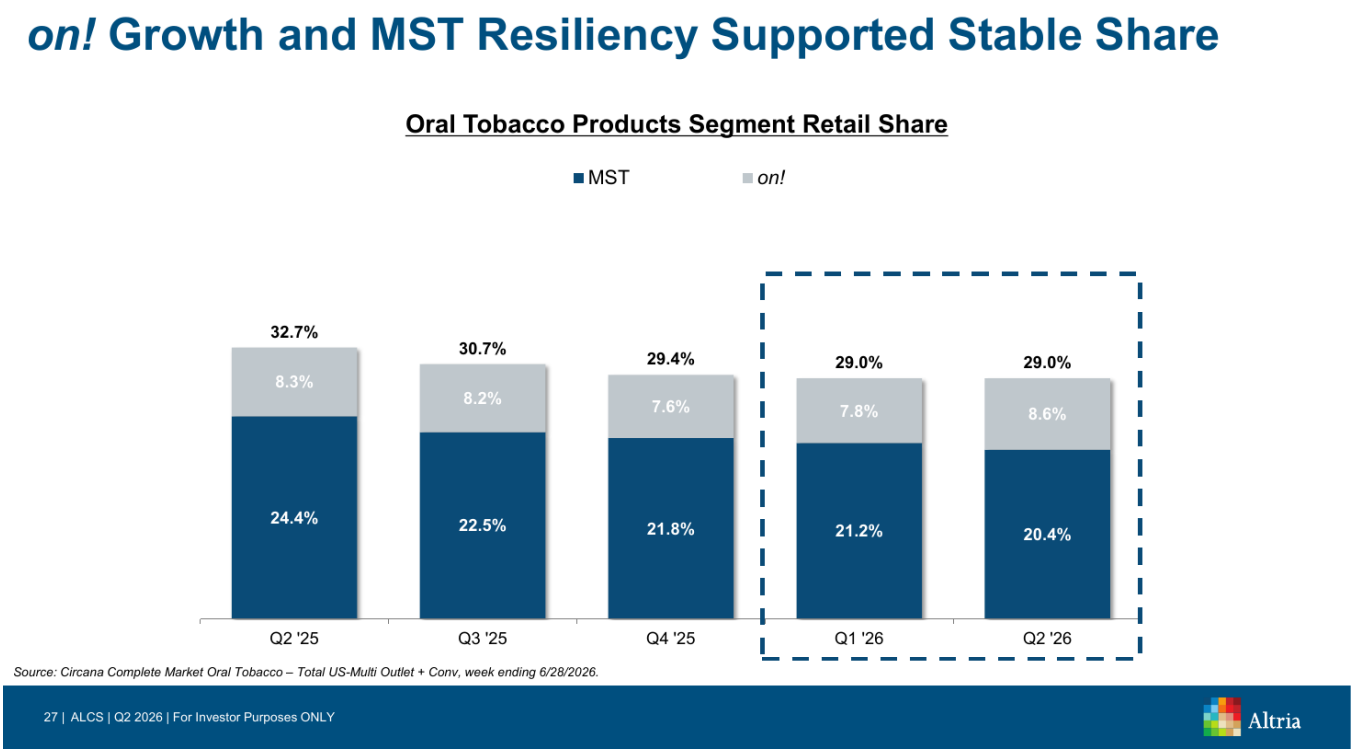
Oral profit declines during the pouch ramp

Oral Tobacco Products Segment



The original segment profit decline is an important counterweight to the pouch-growth story. Segment OCI still excludes corporate costs and amortization. Source: Altria Q2 presentation, July 30, 2026, PDF page 25.

Pouch gains and legacy-oral losses coexist



Total oral share and on! share are separate measures. Pouch growth can coexist with losses in the legacy oral pool. Source: Altria Q2 presentation, July 30, 2026, PDF page 27.

The operating build

The 2026 model estimates $20,250 million revenue excluding excise. Its reference adjusted operating profit reconciles to approximately 565 cents adjusted EPS using explicit interest, ABI earnings, tax and diluted-share assumptions; GAAP operating costs are then retained. The EPS guide is a cross-check, rather than a substitute for a cost build.

The reference cross-check gives approximately 565 cents adjusted EPS within the 561-572 cent guide. The bridge uses $1,100 million net interest, $640 million ABI income, $8 million benefit income, 23% tax and 1,666 million average diluted shares. ABI is used only to check the EPS guide and is excluded from the operating ceiling.

Revenue vector	Confidence	Basis and boundary
Smokeable products	MEDIUM	Reported net-of-excise revenue, price realization and inventory-adjusted cigarette declines; normal MSA/production costs retained.
on! pouches	LOW	Shipment/takeaway controls and distribution. Realized manufacturer ASP and standalone margins are not disclosed and use calibrated proxies.
Legacy oral	MEDIUM	Copenhagen/Skoal volume decline and oral segment control, with explicit incremental displacement.
NJOY commercial return	LOW	Joint legal/regulatory/launch outcome after 2026; incremental production and launch costs included.

HIGH denotes a guided or contracted amount, MEDIUM a sourced extrapolation, and LOW a bounded capture or unit-economics estimate. Reported controls are actuals; future vector estimates remain conditional. The active forecasts combine complete outcomes with their associated costs.

2027 reference product	Revenue	COGS	GP margin	Marketing	Contribution
Smokeable products	17,447	4,676	73%	1,396	11,375
on! pouches proxy	387	149	62%	106	132
Legacy oral proxy	2,323	436	81%	213	1,675
All Other excluding relaunch	15	11	25%	304	-300

2027 reference cost chain	USD million
Revenue	20,172
Manufacturing / product costs	5,272
Gross profit	14,901
Product marketing	2,019
Central commercial / administration costs	219
Other operating costs	242
Operating profit	12,421

on! and legacy oral use separate calibrated cost proxies because product-specific manufacturer economics are undisclosed. The small All Other revenue base retains a maintenance loss; its large expense-to-revenue ratio represents that loss and is not an acquisition cost added twice. Other operating costs retain amortization and a modeled unusual legal/exit reserve.

Annual product cost and margin trajectories

The following decomposed product paths are reference assumptions before the commercial-outcome weighting. They show how manufacturing and commercial costs evolve, including weak or negative contribution where retained. Conditional incremental changes and active weighted totals appear separately below.

Smokeable products

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	17,500	4,725	12,775	73%	1,400	11,375
2027	17,447	4,676	12,771	73%	1,396	11,375
2028	17,394	4,627	12,767	73%	1,392	11,376
2029	17,342	4,578	12,763	74%	1,387	11,376
2030	17,289	4,530	12,759	74%	1,383	11,376

on! pouches proxy

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	330	132	198	60%	99	99
2027	387	149	238	62%	106	132
2028	454	168	286	63%	114	173
2029	533	189	344	64%	120	224
2030	625	212	412	66%	125	287

Legacy oral proxy

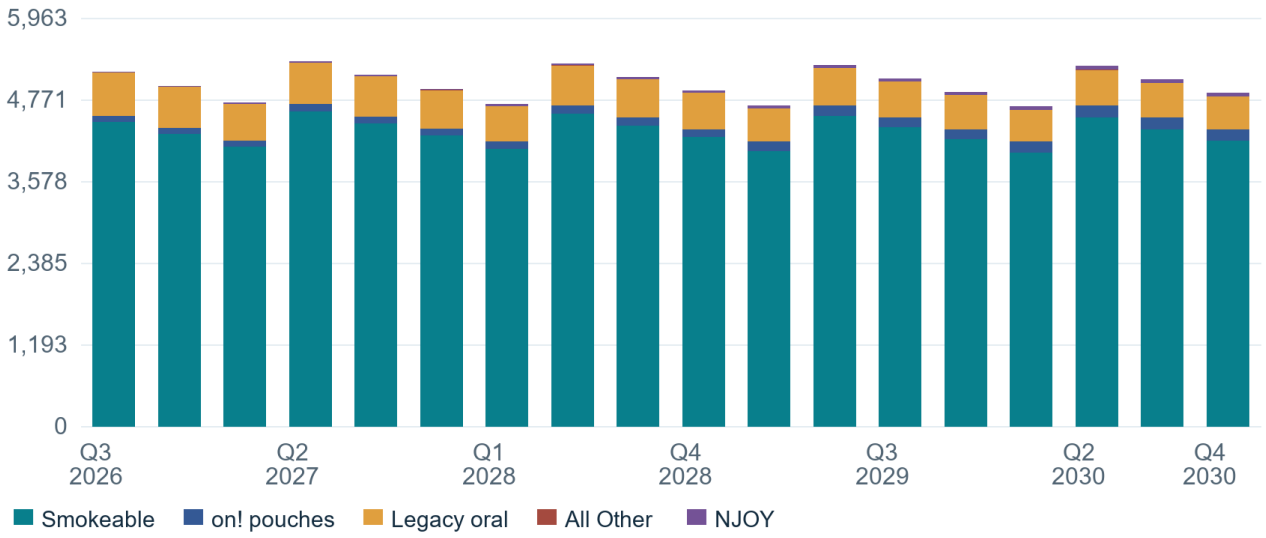
Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	2,405	457	1,948	81%	220	1,728
2027	2,323	436	1,888	81%	213	1,675
2028	2,244	415	1,829	82%	205	1,624
2029	2,168	396	1,772	82%	198	1,574
2030	2,094	377	1,717	82%	192	1,526

All Other excluding relaunch

Year	Revenue	COGS	GP	GP margin	Marketing	Contribution
2026	15	11	4	25%	304	-300
2027	15	11	4	25%	304	-300
2028	15	11	4	25%	304	-300
2029	15	11	4	25%	304	-300
2030	15	11	4	25%	304	-300

Quarterly revenue and mix - Model

USD million



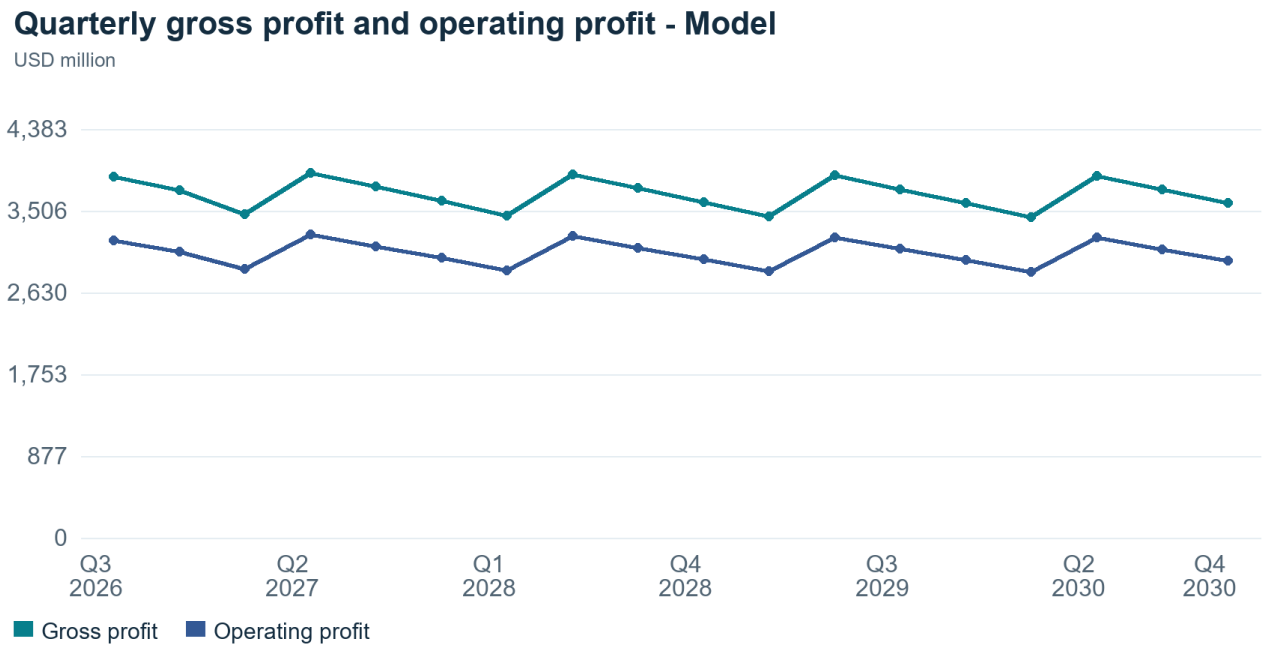
Probability-weighted active quarterly revenue. BAT quarters are model allocations; all displayed quarters are forecasts as of the research date.

Quarter	Smokeable	on! pouches	Legacy oral	All Other	NJOY	Total
Q3 2026	4,452	87	626	4	0	5,169
Q4 2026	4,278	84	601	4	0	4,967
Q1 2027	4,082	92	538	4	6	4,722
Q2 2027	4,603	104	607	4	7	5,324
Q3 2027	4,429	100	584	4	7	5,124
Q4 2027	4,255	96	561	4	6	4,923
Q1 2028	4,053	110	512	4	16	4,695
Q2 2028	4,570	124	577	4	19	5,294
Q3 2028	4,398	119	556	4	18	5,094
Q4 2028	4,225	115	534	4	17	4,894
Q1 2029	4,026	132	485	4	29	4,676
Q2 2029	4,540	149	547	4	32	5,273
Q3 2029	4,369	143	526	4	31	5,074
Q4 2029	4,197	138	506	4	30	4,875

Quarter	Smokeable	on! pouches	Legacy oral	All Other	NJOY	Total
Q1 2030	4,001	160	457	4	41	4,663
Q2 2030	4,512	180	516	4	46	5,259
Q3 2030	4,342	173	496	4	45	5,060
Q4 2030	4,172	167	477	4	43	4,862

Manufacturing, commercial expense and operating profit

Revenue less manufacturing and product costs gives gross profit. Product marketing, central costs and other operating costs are then deducted to reach the selected operating-profit basis. Changes in volume, price and margin travel through these same rows, so no gross revenue increment becomes profit without its cost burden.



The active operating-profit line retains manufacturing and support costs. The table below supplies the revenue, margin and expense chain for every quarter used by the ceiling windows.

Quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q3 2026	5,169	1,294	3,875	683	3,192	62%
Q4 2026	4,967	1,243	3,723	657	3,067	62%
Q1 2027	4,722	1,252	3,470	587	2,883	61%
Q2 2027	5,324	1,411	3,913	662	3,251	61%

Quarter	Revenue	COGS	Gross profit	Opex	OP	OP margin
Q3 2027	5,124	1,358	3,766	637	3,128	61%
Q4 2027	4,923	1,305	3,618	612	3,005	61%
Q1 2028	4,695	1,239	3,455	588	2,868	61%
Q2 2028	5,294	1,397	3,896	663	3,234	61%
Q3 2028	5,094	1,345	3,749	638	3,112	61%
Q4 2028	4,894	1,292	3,602	613	2,990	61%
Q1 2029	4,676	1,230	3,446	588	2,858	61%
Q2 2029	5,273	1,387	3,886	663	3,223	61%
Q3 2029	5,074	1,334	3,739	638	3,101	61%
Q4 2029	4,875	1,282	3,592	613	2,980	61%
Q1 2030	4,663	1,222	3,441	588	2,853	61%
Q2 2030	5,259	1,378	3,880	663	3,217	61%
Q3 2030	5,060	1,326	3,734	638	3,096	61%
Q4 2030	4,862	1,274	3,588	613	2,974	61%

Quarter - active	Product marketing	Central expense	Other operating costs	Total opex
Q3 2026	522	112	49	683
Q4 2026	502	108	47	657
Q1 2027	479	52	57	587
Q2 2027	540	58	64	662
Q3 2027	520	56	62	637
Q4 2027	499	54	59	612
Q1 2028	478	53	57	588
Q2 2028	539	59	64	663
Q3 2028	519	57	62	638
Q4 2028	499	55	59	613
Q1 2029	477	54	57	588
Q2 2029	538	60	64	663

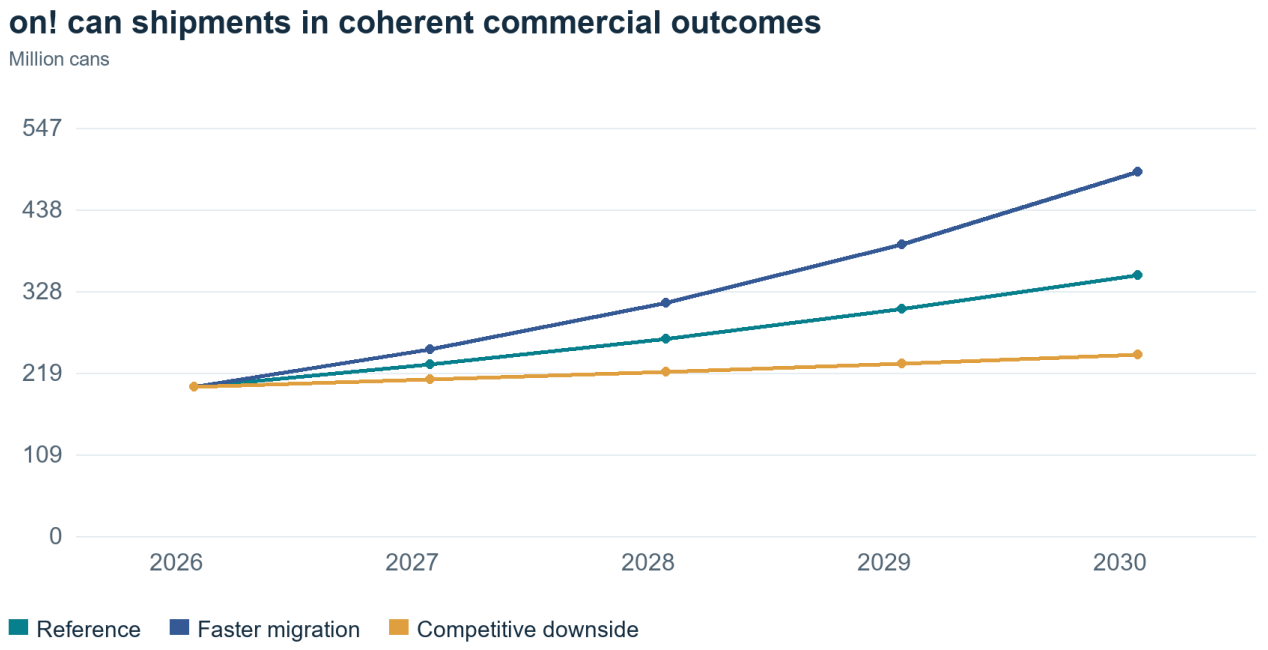
Quarter - active	Product marketing	Central expense	Other operating costs	Total opex
Q3 2029	518	58	62	638
Q4 2029	498	56	59	613
Q1 2030	476	55	57	588
Q2 2030	537	62	64	663
Q3 2030	517	59	62	638
Q4 2030	497	57	59	613

Numbers are rounded only for reading. Exact underlying calculations reconcile; a row may differ by one from independently rounded displayed components.

Annual active model	2026	2027	2028	2029	2030
Revenue	20,250	20,092	19,977	19,896	19,844
Manufacturing / product costs	5,325	5,326	5,273	5,233	5,200
Gross profit	14,925	14,767	14,703	14,663	14,643
Operating expenses	2,574	2,500	2,501	2,501	2,502
Operating profit	12,351	12,267	12,203	12,162	12,141
Average diluted shares, million	1,666	1,658	1,658	1,658	1,658
Operating margin	61%	61%	61%	61%	61%

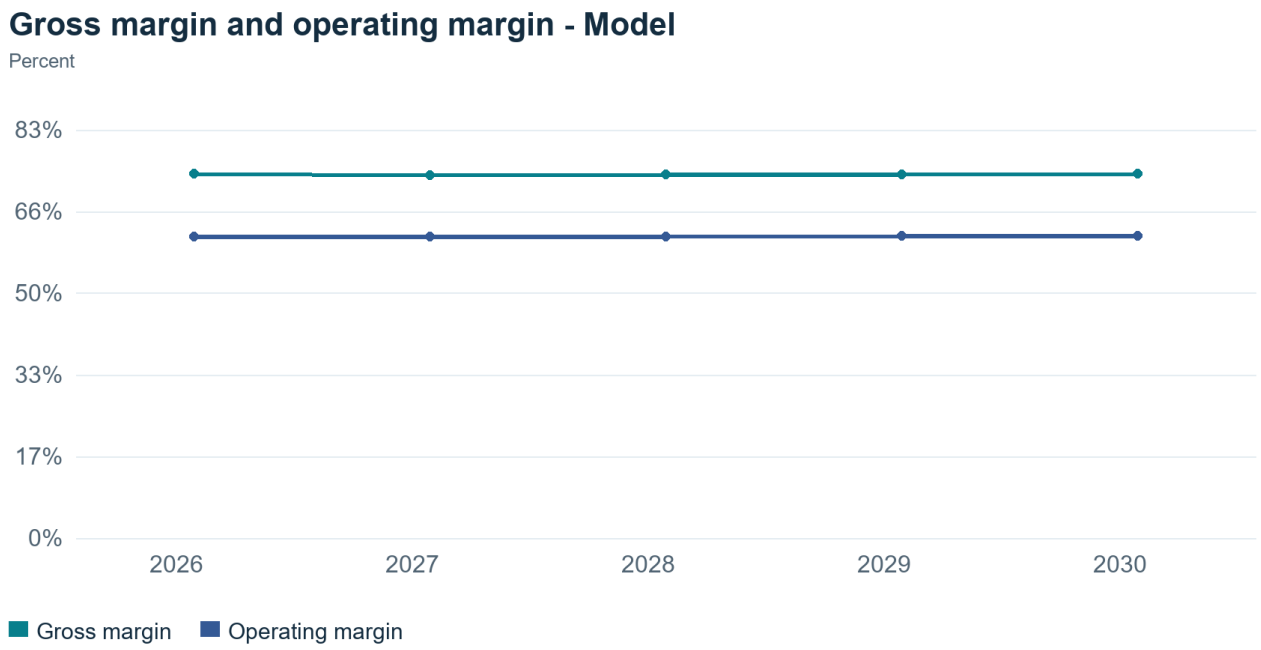
The main operating driver

on! growth is valuable only if retained manufacturer revenue and profit compensate for lost high-margin oral products. The annual reference and conditional unit paths below are labeled model assumptions. They are not reported consumer purchases or the probability-weighted active unit series.



Annual reference and conditional driver paths. Company ambitions and reported controls are described beside the relevant assumptions; this chart does not add a second growth pool.

Annual model	2026	2027	2028	2029	2030
Reference	200	230	264	304	350
Faster migration	200	250	312	391	488
Competitive downside	200	210	220	232	243



Annual active margins, with all costs included on the selected profit basis.

Annual model	2026	2027	2028	2029	2030
Gross margin	74%	73%	74%	74%	74%
Operating margin	61%	61%	61%	61%	61%

Probability, incremental economics and overlap

Accelerated migration carries a 35% probability, competitive downside 25%, and reference 40%. The faster outcome combines more resilient cigarette economics with faster pouch capture and the costs of acquiring it. The downside combines weaker retained pricing, more legacy erosion and a more expensive competitive pouch ramp. These mutually exclusive outcomes sum to 100%.

The on! manufacturer realization starts at a modeled 165 cents per can, compared with a retail shelf price of approximately 450 cents. These are different points in the value chain. The proxy is calibrated to the reported oral revenue and profit pool rather than applying shelf price to every shipped can.

In the faster case, additional on! cans above reference displace own legacy oral at 25% of their incremental volume. Ordinary switching is already included in baseline legacy decline. Manufacturing, promotion and support costs remain deducted. Import/export refunds and the PMI manufacturing arrangement are not added as independent duplicate benefits.

A separate 35% NJOY joint outcome covers usable legal/regulatory access and commercial scaling. The reference retains no commercial return, and the branch starts after 2026. Existing All Other maintenance losses remain; additional sales require production and launch support. Customs treatment, supplemental PMTA status and actual accepted sales are separate gates.

Accelerated migration

Evidence dated 2026-07-30: Altria Q2 management statements, segment reconciliation and product metrics. The assigned probability is 35%. 35% reflects moderating industry declines and sequential retail takeaway, tempered by discount mix, lower year-on-year pouch share and lost high-margin legacy oral. Reassessed smoke-free targets contribute no additional sales.

Conditional outcome: Cigarette volume declines 4% with net price/mix 550 basis points (about 6%); on! can volumes grow 25% and manufacturer realization 4%;25% of extra on! cans above reference displace own legacy oral.

What changes the weight: Increase on profitable repeat consumer takeaway, stable manufacturer pricing and improved oral profit; reduce on deeper downtrading, promotion dependence or larger own-product displacement.

Competitive downside

Evidence dated 2026-07-30: Altria Q2 Marlboro/discount mix, price realization and oral segment profit. The assigned probability is 25%. 25% reflects the observed premium-volume and oral-profit counterevidence. It is mutually exclusive with the faster migration outcome.

Conditional outcome: Cigarette volume declines 8% with 4% pricing; on! volume grows 5% at flat realization; legacy oral volume declines 10%, with higher promotional cost.

What changes the weight: Raise after continued premium mix erosion or oral profit contraction; reduce after several quarters of stable net price and oral contribution.

NJOY commercial return

Evidence dated 2026-07-30: Altria July 30 management comments and 10-Q; applicable original FDA orders and continuingITC restrictions. The assigned probability is 35%. 35% jointly weights applicable clearance, legal operability, launch and sustained consumer capture. A management account of CBP treatment is not itself verified FDA authorization. The modeled contribution is initially negative after launch costs.

Conditional outcome: A distinct redesignedNJOY paid-sales cohort reaches 75 million 2027,200 million 2028,350 million 2029 and 500 million 2030, at 50%GP before incremental launch/support 65 million/85 million/100 million/115 million.

What changes the weight: Increase on applicable authorization, confirmed commercial inventory and repeat paid use; decrease on delays, continuing patent restrictions or higher support and acquisition costs.

Manufacturing efficiency and overlap

Evidence dated August 24, 2026: the PMI manufacturing announcement gives no commercial fee or additional accepted volume and expects no material 2026 effect. A bounded proxy of 500 million additional sticks at 1-5 cents manufacturer receipts yields $5-$25 million sales; at 15-25% operating margin, conditional profit is less than $1 million to approximately $6 million. These are illustrative assumptions, not disclosed economics.

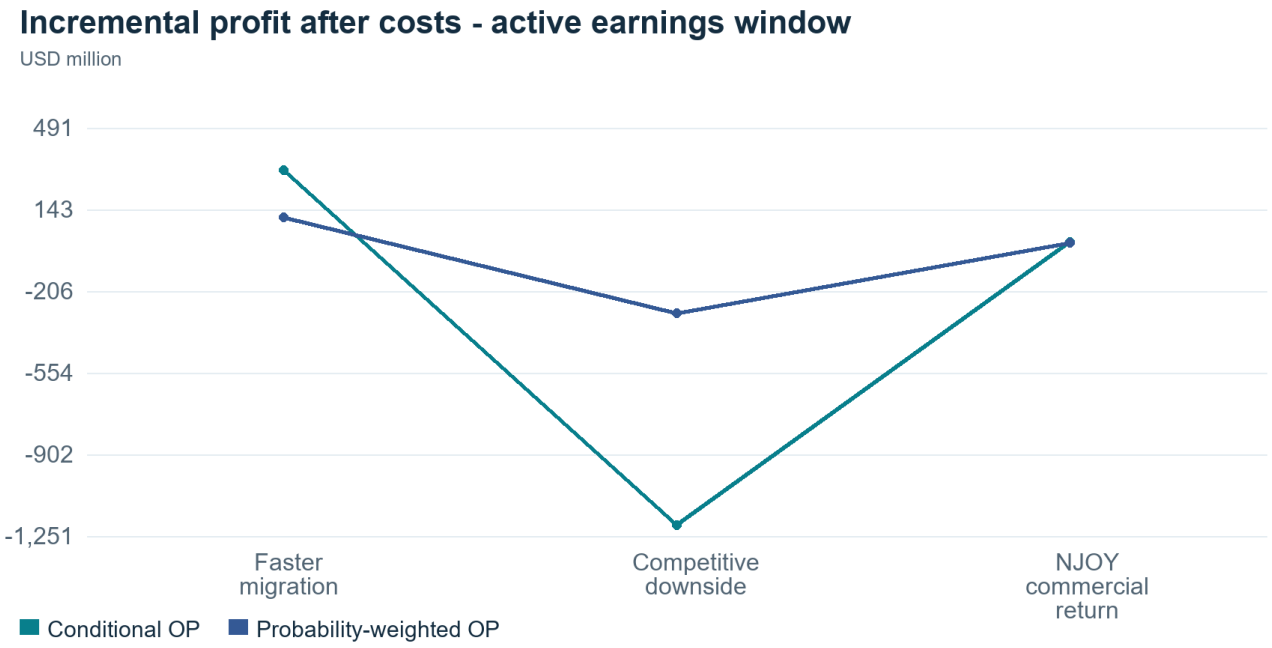
A 50% probability of eventual incremental efficiency does not establish a distinct additional cohort. The reference already includes guided import/export effects and production investment, giving 100% overlap for this unspecified increment and zero additional active revenue or operating profit. The next test is a disclosed commercial fee, accepted volume or reconciled net cost benefit above the existing wallet.

Coherent commercial outcome	Probability
Reference	40%
Faster migration	35%
Competitive downside	25%
Total	100%

Incremental bridge for Q4 2027 through Q3 2028. Amounts below are USD million. Conditional changes are measured above the existing reference and include related cost changes. A negative expense change is a cost reduction, not extra revenue.

Outcome	p	Conditional revenue	Conditional COGS	Conditional GP	Conditional opex	Conditional OP
Faster migration	35%	+524	+153	+371	+62	+309
Competitive downside	25%	-1,444	-123	-1,322	-116	-1,205
NJOY commercial return	35%	+169	+85	+85	+80	+5

Active bridge	Revenue	COGS	GP	Opex	OP
Reference	20,123	5,234	14,890	2,480	12,410
Faster migration weighted	+184	+54	+130	+22	+108
Competitive downside weighted	-361	-31	-330	-29	-301
NJOY commercial return weighted	+59	+30	+30	+28	+2
Active total	20,005	5,286	14,719	2,500	12,219



Positive and negative outcomes are preserved. Probability-weighted increments are conditional increments multiplied once by the stated probability.

Outcome	Conditional OP	Weighted OP
Faster migration	+309	+108
Competitive downside	-1,205	-301
NJOY commercial return	+5	+2

Timing, assumptions and zero-addition decisions

The reference contains existing business and ordinary category growth. A zero overlap field in the arithmetic means overlap has already been removed through the coherent outcome, named product boundary or explicit displacement rule; it does not mean competitors can all gain the same share without an offset. No separate increase is added for a headline already captured by those operating assumptions.

The old smoke-free goals receive no extra revenue because management is reassessing them. The PMI manufacturing arrangement supplies no disclosed fee/volume economics and is expected to have no material 2026 effect; no independent uplift is stacked on the guided import/export refund benefit. NJOY receives a nonzero post-2026 joint outcome with launch costs, rather than assuming authorization alone creates sales.

Sensitivity to the stated probabilities

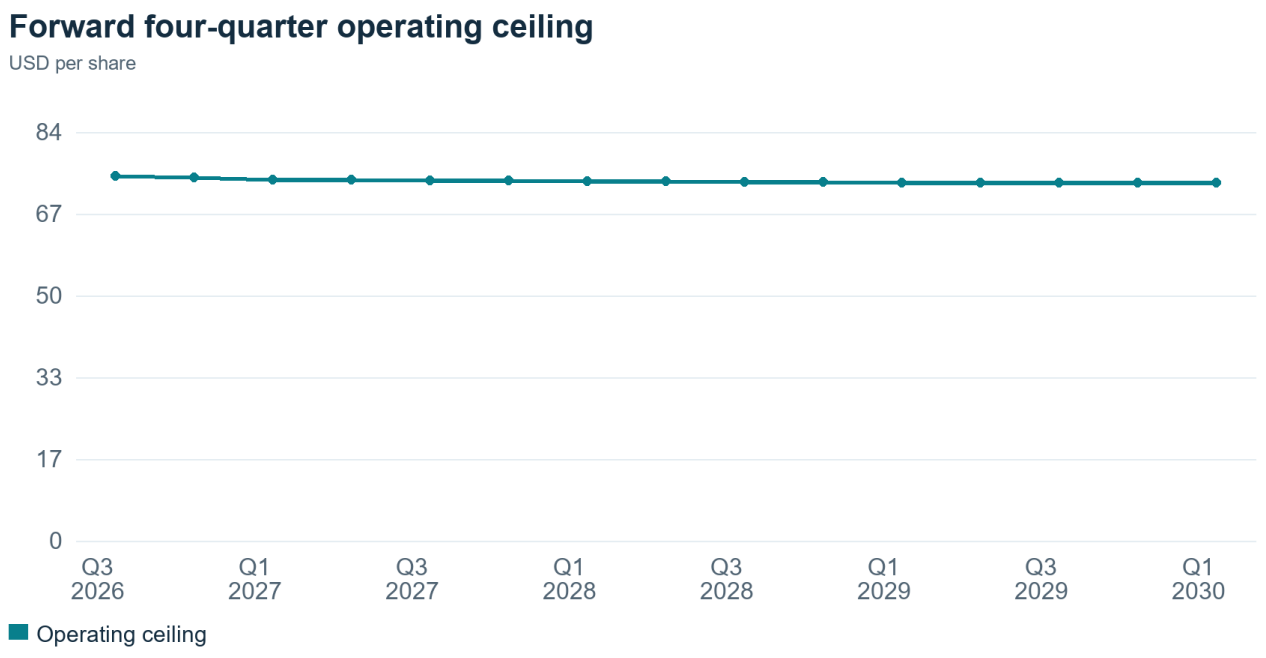
Outcome	Current p	Ceiling at zero p	Ceiling at p + 10 points	Conditional OP delta
Faster migration	35%	$73	$74	309
Competitive downside	25%	$76	$73	-1,205
NJOY commercial return	35%	$74	$74	5

These sensitivities vary one stated probability while holding the other operating assumptions fixed and shifting the remaining reference weight consistently. They expose uncertainty rather than adding a separate ceiling probability haircut.

The fifteen forward four-quarter operating ceilings

Each ceiling capitalizes the operating profit earned in the exact four-quarter window shown below. Quarterly revenue less costs produces operating profit; the four quarters are summed, multiplied by the company-specific multiple and divided by average diluted shares. The active window is Q4 2027 through Q3 2028.

The initial 10x GAAP operating-profit multiple is a new coverage assumption reflecting the business mix, competitive position and risk. It capitalizes operating profit rather than enterprise cash flow. Debt, financing costs and nonoperating assets are disclosed as funding constraints; dividends and financial investments are not added to this operating ceiling.



All fifteen ceilings share the stated method and each uses its own exact earnings window. The numerical table immediately below provides the profit, multiple and diluted-share chain.

Ceiling quarter	Exact earnings window	F4Q OP	Multiple	Diluted shares, million	USD ceiling
Q3 2026	Q3 2026 through Q2 2027	12,393	10x	1,659	$75
Q4 2026	Q4 2026 through Q3 2027	12,329	10x	1,658	$74
Q1 2027	Q1 2027 through Q4 2027	12,267	10x	1,658	$74
Q2 2027	Q2 2027 through Q1 2028	12,252	10x	1,658	$74
Q3 2027	Q3 2027 through Q2 2028	12,235	10x	1,658	$74
Q4 2027	Q4 2027 through Q3 2028	12,219	10x	1,658	$74
Q1 2028	Q1 2028 through Q4 2028	12,203	10x	1,658	$74
Q2 2028	Q2 2028 through Q1 2029	12,193	10x	1,658	$74
Q3 2028	Q3 2028 through Q2 2029	12,182	10x	1,658	$73
Q4 2028	Q4 2028 through Q3 2029	12,172	10x	1,658	$73
Q1 2029	Q1 2029 through Q4 2029	12,162	10x	1,658	$73
Q2 2029	Q2 2029 through Q1 2030	12,157	10x	1,658	$73
Q3 2029	Q3 2029 through Q2 2030	12,151	10x	1,658	$73
Q4 2029	Q4 2029 through Q3 2030	12,146	10x	1,658	$73
Q1 2030	Q1 2030 through Q4 2030	12,141	10x	1,658	$73

The average diluted share count follows the model's company-specific schedule. A 5% higher share denominator, with identical profit and FX, lowers each ceiling by approximately 5%; a 5% lower denominator raises it by approximately 5%. No repurchase-driven upside is added beyond the funded share convention.

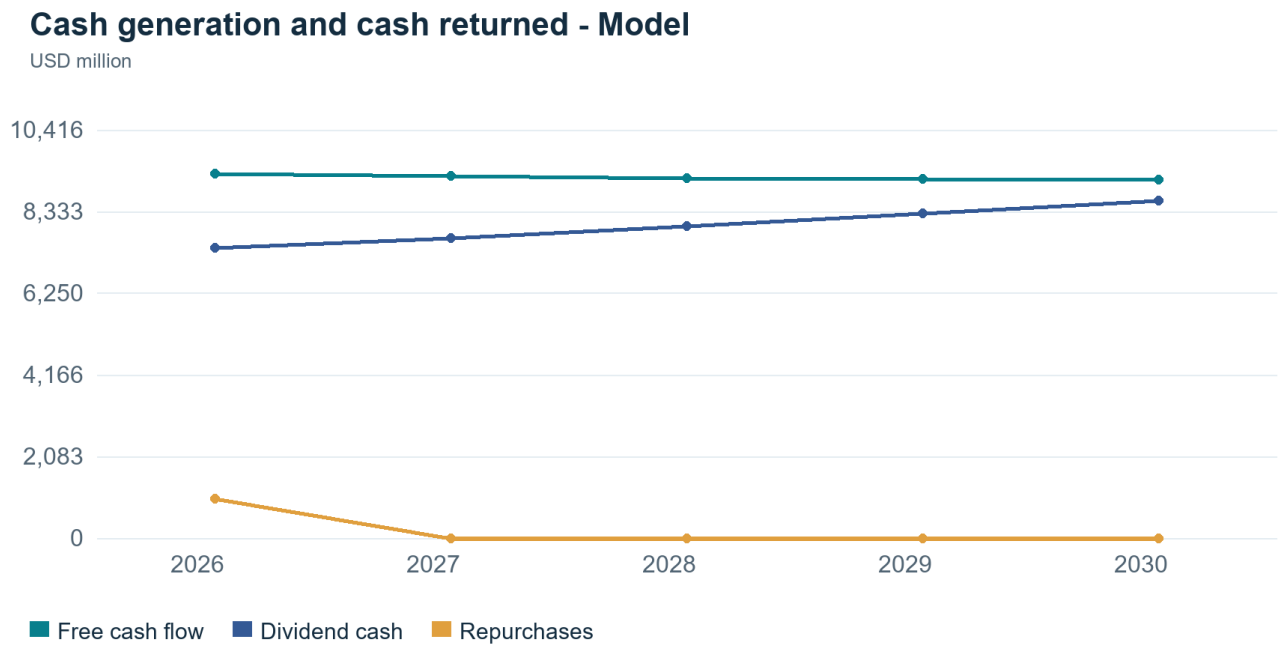
Funding, dividends and debt

FY2025 operating cash flow less capex was $9,074 million against $6,960 million dividends and $1,000 million repurchases. H1 2026 free cash flow was $2,893 million against $3,556 million dividends and $335 million repurchases. Settlement and tax seasonality make the half-year deficit a poor annual run rate.

June debt was $24,577 million and cash $2,367 million, giving plain net debt of $22,210 million. The latest dividend is 111 cents quarterly, or 444 cents annualized. The model uses the announced 2026 repurchase envelope, then holds diluted shares flat rather than assuming perpetual buybacks.

ABI's June fair value was approximately $13,200 million, while its equity earnings sit below operating profit. This operating-profit ceiling does not add the ABI asset value or capitalize its earnings. ABI dividends already included in operating cash flow are not added to cash generation a second time.

The cash projection is a low-confidence conversion estimate, with annualized dividend run rates and retained cash applied to debt. Declining dividend coverage later in the horizon matters even if GAAP operating profit looks stable. No asset sale, new financing or tax-free monetization is assumed.



Free cash flow is a low-confidence cash-conversion model. Dividend cash uses annualized rate assumptions; it differs from an exact payment-calendar forecast.

Year	FCF	Dividends	Buybacks	Retained cash	FCF / dividend	Net debt
2026	9,300	7,397	1,000	903	126%	20,309
2027	9,239	7,656	0	1,583	121%	18,726
2028	9,192	7,962	0	1,229	115%	17,497
2029	9,162	8,281	0	881	111%	16,616
2030	9,146	8,612	0	534	106%	16,082

Projected net debt begins at the June balance and deducts only the remaining modeled second-half cash retained, after reconciling actual first-half distributions. Later cash retention then reduces debt. This is a funding cross-check with no modeled debt FX, acquisitions or asset sales. It does not change the operating-profit capitalization formula.

Scorecard and thesis quality

The framework evaluates the quality of the investment mechanism as well as its profit trajectory. This company receives credit for a branded recurring-consumption franchise and the specified growth vectors. It receives no AI adjacency or scarcity premium. The score below is the analytical score for this coverage, separate from individual outcome probabilities.

Category	Points	Maximum	Reason
Core Thesis	12	20	Marlboro, retail distribution and recurring consumption confer pricing power. Nicotine supply is adequate and alternatives are available.

Category	Points	Maximum	Reason
Cycle Stage	4	10	The group is dominated by declining cigarettes and legacy oral; the pouch ramp is smaller and competitive.
TAM Expansion	4	10	on! and a conditional NJOY return broaden legal nicotine formats. Reassessed 2028 smoke-free goals are not an active target.
Catalysts	3	5	October 29 earnings, on! rollout and redesignedNJOY regulatory/commercial tests.
Macro	4	10	Pricing and moderation of cigarette declines help cash, while affordability and alternatives constrain net mix.
Alpha	1	5	Highly covered. No exclusive scarcity mechanism or large undiscovered addressable wallet is established.
Risks	-5	Penalty	Five classes: legal/regulatory exposure, premium-cigarette downtrading, own-MST displacement/pouch economics, NJOY execution, and debt/dividend commitments.

Score arithmetic: 12 + 4 + 4 + 3 + 4 + 1 + (-5) = 23 points out of 60; scaled and rounded to 38 out of 100. Framework result: Fail. All three tobacco companies score below 65; an indispensable bottleneck has not been demonstrated.

Risks and tests that could change the thesis

Risk	Evidence and operating test
Premium cigarette erosion	Downtrading can reduce the wallet even when total volume declines moderate. Watch net pricing, Marlboro premium volume and inventory-adjusted demand together.
Oral economics	on! gained sequential takeaway, while oral segment profit declined and Copenhagen/Skoal volumes fell. Manufacturer ASP, repeat rates and product-specific costs remain undisclosed.
NJOY legal and launch risk	Existing FDA orders for original ACE products do not establish authorization of a redesigned product or commercial availability. Management's CBP design claim is attributed; the full underlying ruling text was unavailable.
Authorization scope and competition	on! PLUS products, planned 12 mg strengths and flavour extensions must be checked individually. Enforcement discretion differs from marketing authorization. ZYN ULTRA also targets stronger-product demand.
Cash commitments	Ordinary settlement costs, debt, litigation and dividend commitments leave limited room if cigarette pricing weakens or the transition requires more promotion.

Dated catalysts

Timing	Test
October 29, 2026	Q3: cigarette pricing/mix, on! takeaway versus shipments, oral contribution and capex.
Late 2026 and 2027	Evidence of repeat purchase after promotion, named-product FDA orders and actual redesigned NJOY commercialization.
Annual update	Revised smoke-free goals, manufacturing economics above guided refunds and cash retained after dividends.

Cross-company implications

PMI ZYN, BAT Velo and Altria on! compete for the same US oral-nicotine wallet. An extra share point captured by one supplier may be lost by another; it cannot be treated as independent industry expansion in every model. PMI IQOS also competes with BAT glo and Japan Tobacco Ploom, while legal vapour competes with JUUL and illicit products. Company distribution, consumer retention, actual realization and cost data must separate shared category growth from share transfer.

Within this three-company review, PMI has the broadest established international smoke-free profit pool, BAT combines cigarette cash with a fast modern-oral ramp, and Altria remains most dependent on a shrinking US cigarette and legacy-oral base. Those are business-mix distinctions rather than price-dependent rankings. Each report retains its own operating-profit basis, multiple, funding burden and diluted-share convention.

Sources and evidence boundaries

Reported figures come from company filings, releases and official presentations. Management forecasts remain attributed ambitions; future operating outcomes and probabilities are model judgments. Original exhibits retain their dates, units, footnotes and published precision. Authored tables use whole-number presentation while the calculation file retains exact precision.

[1] q2 2026 release | https://edge.sitecorecloud.io/altriaclien9c5f-altriaclien2f33-prod0b41-3d12/media/Project/Altria/Altria/Investors/events-and-presentations/2026/2026-Q2/Altria-Q2-2026-Earnings---Release.pdf?sc_lang=en

[2] q2 2026 metrics | https://edge.sitecorecloud.io/altriaclien9c5f-altriaclien2f33-prod0b41-3d12/media/Project/Altria/Altria/Investors/events-and-presentations/2026/2026-Q2/Altria-Q2-2026-Earnings---Metrics.pdf?sc_lang=en

[3] q2 2026 presentation | https://edge.sitecorecloud.io/altriaclien9c5f-altriaclien2f33-prod0b41-3d12/media/Project/Altria/Altria/Investors/events-and-presentations/2026/2026-Q2/Altria-Q2-2026-Earnings---Presentation.pdf?sc_lang=en

[4] q1 2026 release | https://edge.sitecorecloud.io/altriaclien9c5f-altriaclien2f33-prod0b41-3d12/media/Project/Altria/Altria/Investors/events-and-presentations/2026/2026-Q1/Q1-2026-Earnings---Release.pdf?sc_lang=en

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